COURSE

Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

Sales, revenue and costs

Unit 2: Managing business activities · 2.3.2 Financial planning: sales, revenue and costs; 2.3.3 Managing finance: profit

Revision for Unit 2: Managing business activities: each firm works it out on its own deals.

Class **Pearson Edexcel International A level Business (IAL)**	Topic **Sales, revenue and costs**

THE LESSON

Setup	3 min
Round 1	Decisions 3 min · Deals 5 min · Topic tasks 4 min
Firm decisions · Deals · Topic task 1 · Topic task 2	
Round 2	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions · Deals · Topic task 3 · Topic task 4 · B2B deal	
Round 3	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions · Deals · Topic task 5 · Topic task 6 · B2B deal	
Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Split the costs.

Variable cost per car?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Total costs, a month	**£52,350**
Fixed costs, a month	**£4,750**
Cars sold	**4 cars**

METHOD

Variable cost per car = (total costs – fixed costs) ÷ cars

(£52,350 – £4,750) ÷ 4 = £11,900

Why: Take the fixed costs off first. Then share the rest between the cars.

Task 2

ROUND 1

Revenue rose 10% this year, but profit fell.

Which two could explain this?

PICK TWO

- ✔ **Fixed costs jumped this year**
- ○ More cars sold at the same margin
- ○ Overheads fell
- ○ Prices were raised
- ✔ **Variable costs rose faster**

Why: Profit falls when costs grow faster than revenue.

Task 3

ROUND 2

You read your income statement from the top.

Put these in order, top first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Revenue**
2. **Gross profit**
3. **Operating profit**
4. **Profit for the year**

Why: Revenue less cost of sales, then other operating expenses, then interest.

Task 4

ROUND 2

Year-end figures.

Profit for the year (net profit)?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Revenue	**£164,300**
Cost of sales	**£88,000**
Other operating expenses	**£38,000**
Interest paid	**£3,300**

METHOD

Profit for the year = revenue – cost of sales – other expenses – interest

£164,300 – £88,000 – £38,000 – £3,300 = £35,000

Why: Operating profit is £38,300; interest takes it to £35,000.

Task 5

ROUND 3

Revenue is £200,000 and costs £180,000. Raise prices so revenue rises 5%, or cut costs 5%?

Which raises profit more, and why?

PICK A OR B AND GIVE A REASON

- ○ Cut costs by 5%
- ✔ **Raise revenue by 5%**

Why: 5% of £200,000 is £10,000; 5% of £180,000 is £9,000.

Task 6

ROUND 3

Next year's plan.

Profit next year? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Revenue	**£105,000**
Revenue rises by	**20%**
Costs	**£66,000**
Costs rise by	**25%**

METHOD

Profit = revenue after the rise – costs after the rise

£126,000 − £82,500 = £43,500

Why: Revenue and costs both change. Work out each new figure first.

Final questions

6
questions for each pupil

129
Level 3 Business questions

5
of them on sales, revenue and costs

The game draws 6 of the 129 Level 3 questions; these 5 are about sales, revenue and costs.

1 A car supermarket records revenue of £1,260,000 and cost of sales of £945,000. What is its gross profit?
£315,000.

2 A service division has revenue of £800,000 and operating profit of £96,000. What is its operating profit margin?
12%.

3 A dealer earns £2,400,000 revenue and £144,000 profit for the year. What is net profit margin?
6%.

4 A workshop pays £12,000 monthly rent plus £35 for each safety inspection completed. Which cost description is correct?
Rent is fixed in the relevant range; inspection cost is variable.

5 A workshop pays £14,000 a month in rent and salaries plus £38 of parts per service. With 250 services, what are total costs?
£23,500.